7.10.5 Posting of entries from petty cash book to ledger

1. When petty cash is advanced at the beginning:

   A separate petty cash account is opened in the ledger. When advance is received by the petty cashier, petty cash account is debited and cash account is credited.

2. When individual expenses columns are periodically totalled:

   The total of various petty expenses are debited and the petty cash account is credited with the total of the payments made.

The petty cash account will show the balance of petty cash. This balance will be shown in the balance sheet as part of cash balance.

Tutorial note

Instead of debiting the total of each petty expense directly, a separate journal entry may also be made and then credited to petty cash account. The journal entries are:

(a) **For receiving petty cash:**

Petty cash A/c	Dr.	xxx	
To Cash A/c			xxx

(b) **For expenses paid:**

Respective expense A/c	Dr.	xxx	
To Petty cash A/c			xxx



Student activity

1) Interview a banker or invite a banker to your class to know the procedure for opening various types of bank accounts.

2) Imagine you have got a cash gift of ₹ 5,000. Come up with a small business plan. [Example: creating birthday cards on your own and selling them, buying and selling stationery items, etc.] Prepare cash book using imaginary transactions relevant to your chosen business.

Points to remember

- Three column cash book contains columns for discount, cash and bank on either side.
- Contra entry appears on both sides of a three column cash book. A contra entry occurs when cash is withdrawn from the bank or cash is deposited into the bank.
- A petty cash book is maintained to record small cash payments.

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